AEAAD
EDCCB
BBDDA
AEBEB
BBEDC
DEDDB

6.1/6.4 government policies

1. A chemical plant pollutes a river that serves as the water supply for a nearby town. From an economist's point of view, pollution from the plant should be reduced until the

(A) marginal benefit from the cleaner water is equal to the marginal cost of making the water cleaner ✓

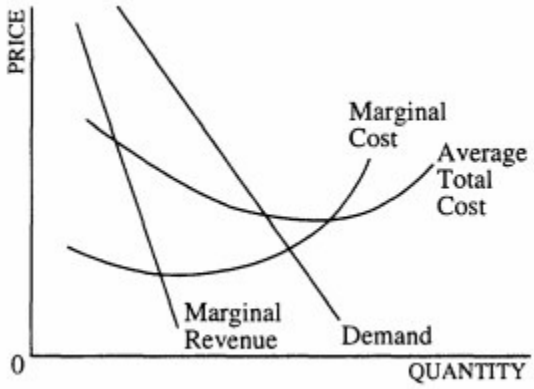
(B) marginal benefit from cleaner water is maximized

(C) total benefit from cleaner water is zero

(D) total benefit from cleaner water is equal to the total cost of making the water cleaner

(E) total benefit from cleaner water is maximized

2.



The graph above shows the cost and revenue curves for a natural monopoly. Consider the following two policies for regulating this natural monopoly.

Policy I: Require the monopoly to set quantity and price where demand equals marginal cost.

Policy II: Require the monopoly to set quantity and price where demand equals average total cost.

Which of the following is true of these policies?

(A) Both would result in the same level of output and price.

(B) Both would result in an inefficient allocation of resources relative to the unregulated result.

(C) Policy I would result in a lower level of output than would Policy II.

(D) Policy I would result in a higher price than would Policy II.

(E) Policy I might require the payment of a subsidy to the firm. ✓

3. Which of the following is likely to result in allocative inefficiency?

(A) An oligopoly market structure ✓

(B) A firm producing at the level of output where price is equal to marginal cost

(C) A perfectly competitive market in long-run equilibrium with no externalities

(D) A perfectly price-discriminating monopoly

(E) A monopsonist that faces a minimum wage where marginal revenue product equals the supply of labor

6.1/6.4 government policies

Answer A

Correct. Allocative inefficiency occurs when output is produced where $\text{MSB} \neq \text{MSC}$. If too little is produced relative to the socially optimal quantity, $\text{MSB} > \text{MSC}$ (i.e., unregulated monopoly); if too much is produced relative to the socially optimal quantity, $\text{MSC} > \text{MSB}$ (i.e., negative externality). In an oligopoly, output is restricted to maximize profit and P is greater than MC or MSB is greater than MSC.

4. An effective minimum wage policy in a competitive market will increase unemployment and increase the total earnings of labor only if the demand for labor is

(A) relatively inelastic ✓
(B) relatively elastic
(C) unit elastic
(D) greater than the supply
(E) positively related to the wage rate

5. An increase in the effective minimum wage will have less of an impact on employment if the demand for labor is

(A) a derived demand
(B) decreasing
(C) relatively elastic
(D) relatively inelastic ✓
(E) unit elastic

6. The government of Annapolita has determined that the country's power company, an unregulated natural monopolist, should be required to produce the allocatively efficient quantity of electricity. Which of the following actions will achieve the government's goal?

(A) The government imposes a per-unit tax on each unit of output the monopoly produces and imposes a lump-sum tax on the monopolist to eliminate any remaining profit.
(B) The government sets the price at the point where demand and average total cost curves intersect and provides a lump-sum subsidy to the monopolist equal to the monopolist's normal profit.
(C) The government sets the price at the point where demand and average total cost curves intersect and imposes a lump-sum tax on the monopolist to eliminate the monopolist's normal profit.
(D) The government sets the price at the point where demand and marginal cost curves intersect and imposes a lump-sum tax on the monopolist to eliminate the monopolist's normal profit.
(E) The government sets the price at the point where demand and marginal cost curves intersect and provides a lump-sum subsidy to the monopolist to earn normal profit. ✓

6.1/6.4 government policies

Answer E

Correct. Since firms operating as a natural monopoly have falling average total cost over the relevant range of output, their marginal cost will be below average total cost over this range as well. If the government sets a price equal to marginal cost for such a firm to achieve allocative efficiency, the firm will incur economic losses (since price is less than average total cost at the allocatively efficient quantity); therefore, the government must provide a lump-sum subsidy in this case to allow the firm to earn normal profit.

7. Antitrust laws are intended to

(A) prevent the entry of firms into imperfectly competitive markets
(B) ensure that firms produce the allocatively efficient quantity of output
(C) reduce monopoly profits
(D) control monopolies and maintain a competitive market environment ✓
(E) eliminate negative externalities

Answer D

Correct. Antitrust law is intended to promote competition.

8. Antitrust laws are designed to maintain a competitive market environment by

(A) eliminating monopolies wherever they exist
(B) preventing monopolies from generating negative externalities
(C) limiting practices that increase a firm's market power ✓
(D) imposing price ceilings on products produced by monopolies
(E) making charging a price above marginal cost illegal

Answer C

Correct. Antitrust laws are intended to promote competition and to restrain anticompetitive behavior. They do so by limiting practices that increase a firm's market power through regulation.

6.1/6.4 government policies

9. The primary purpose of antitrust laws is to

(A) protect consumers from fraudulent business practices

(B) protect small businesses from unfair foreign competition

(C) prevent firms from monopolizing trade and to promote competition ✓

(D) reduce lawsuits and limit the liabilities of businesses

(E) grant the government the right to take over private property

10. Antitrust legislation is designed to make it illegal for a firm to monopolize an industry. Which of the following best states the economic rationale for this legislation?

(A) A monopolist produces too little of the good, producing an output that minimizes the average cost of production.

(B) A monopolist produces too little of the good, charging consumers a price that exceeds the marginal cost of production. ✓

(C) A monopolist is more likely to pollute the environment than are firms in a competitive industry.

(D) A monopolist engages in price discrimination, charging low-income people with elastic demand curves a higher price than that charged to high-income people with inelastic demand curves.

(E) A monopolist produces too much of a good, attracting scarce factors of production that might be better utilized in other industries.

11. Antitrust policies are put in place to limit which of the following?

(A) Income inequality

(B) Monopoly power ✓

(C) Double taxation of corporations

(D) Price ceilings

(E) The provision of public goods

12. Antitrust policy seeks to prevent or eliminate which of the following practices?

(A) Firing of workers

(B) Collusion and price fixing ✓

(C) Pollution of rivers

(D) Monopolistic competition

(E) Discrimination in the labor market

13. Antitrust policy is designed to

6.1/6.4 government policies

(A) encourage businesses to produce public goods
(B) establish trust between the government and the business community
(C) prevent businesses from earning profits
(D) maintain a competitive business environment ✓
(E) ensure that businesses earn only zero economic profits in the long run

14. A per-unit tax on pollution produced by a firm will affect the firm's output and pollution levels in which of the following ways?

(A)

Output	Pollution
Increase	Increase

(B)

Output	Pollution
Increase	Decrease

(C)

Output	Pollution
Decrease	Increase

(D) ✓

Output	Pollution
Decrease	Decrease

(E)

Output	Pollution
No change	No change

15. Assume that the marginal social benefit of the last unit of vaccination provided is greater than the marginal social cost. Which of the following can be used to achieve efficiency in the market for vaccination?

6.1/6.4 government policies

(A) A per-unit subsidy for vaccinations ✓

(B) A lump-sum tax for vaccinations

(C) A limit on the quantity of vaccinations

(D) A price floor for vaccinations

(E) A price ceiling for vaccinations

16. Assume that under new environmental regulations, tire companies have to pay taxes based on how much pollution is created when producing each tire. The price paid by consumers and the quantity of tires sold will most likely change in which of the following ways?

(A) ✓

Price	Quantity
Increase	Decrease

(B)

Price	Quantity
Increase	Increase

(C)

Price	Quantity
Decrease	Increase

(D)

Price	Quantity
Decrease	Decrease

(E)

Price	**Quantity**
No change	No change

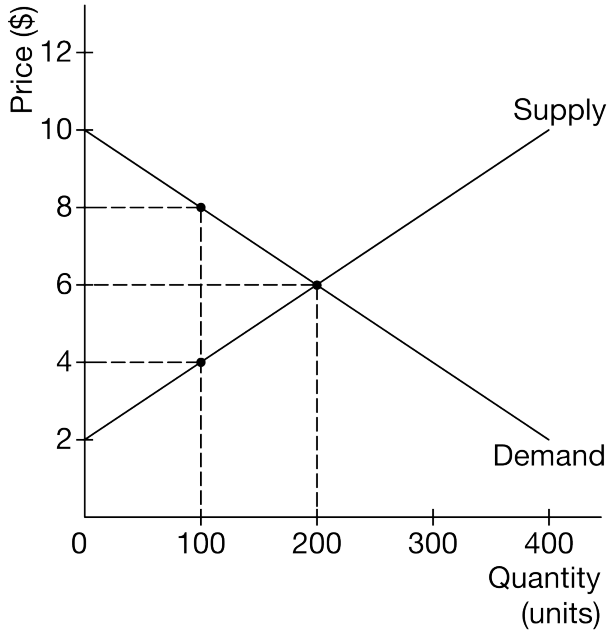
17. If a binding minimum wage increases in a perfectly competitive labor market, then which of the following will likely occur in the labor market?

6.1/6.4 government policies

(A) The supply of workers will increase.
(B) The supply of workers will decrease.
(C) The demand for workers will increase.
(D) The demand for workers will decrease.
(E) The quantity of workers supplied will increase. ✓

Answer E

Correct. An increase in a binding minimum wage, increases the wage rate which increases the quantity supplied of workers along the same labor supply curve.



Assume that the government imposes a $4 per-unit tax on sellers of a good in the market described by the graph above.

18. What are the price paid by buyers, the after-tax price received by sellers, and the deadweight loss?

6.1/6.4 government policies

(A)

Price Paid by Buyers	Price Received by Sellers	Deadweight Loss
$8	$6	$100

(B) ✓

Price Paid by Buyers	Price Received by Sellers	Deadweight Loss
$8	$4	$200

(C)

Price Paid by Buyers	Price Received by Sellers	Deadweight Loss
$6	$6	$0

(D)

Price Paid by Buyers	Price Received by Sellers	Deadweight Loss
$4	$8	$100

(E)

Price Paid by Buyers	Price Received by Sellers	Deadweight Loss
$4	$8	$200

Answer B

Correct. The tax creates a wedge between the price paid by buyers and the price received by sellers. The per-unit tax shifts the supply curve to the left by the amount of the tax, raising the price to $\$8$ and decreasing the quantity exchanged to 100 units. Thus, the price paid by buyers rises to $\$8$, and the price received by sellers falls to $\$4$. The deadweight loss is given by the area of the triangle between the price of $\$8$ and $\$4$ and the quantity of 100 units and 200 units. That is, the deadweight loss is equal to $((\$8 - \$4) \times (200 - 100))/2 = \$200$.

6.1/6.4 government policies

19. The market inefficiency of a negative production externality will be eliminated if a policy is put in place that results in which of the following outcomes?

(A) the level of output produced is maximized

(B) the marginal benefit of production is maximized

(C) the marginal cost of production is minimized

(D) the marginal social benefit of production exceeds the marginal social cost

(E) the marginal social benefit of production is equal to the marginal social cost ✓

Answer E

Correct. The negative production externality will be eliminated when all social benefits and costs are internalized by individuals in the market, which occurs when the marginal social benefit is equal to the marginal social cost.

20. If the goal of government regulators of a natural monopoly is to reduce deadweight loss without subsidizing the monopolist, government regulators would set a price equal to

(A) average variable cost

(B) average total cost ✓

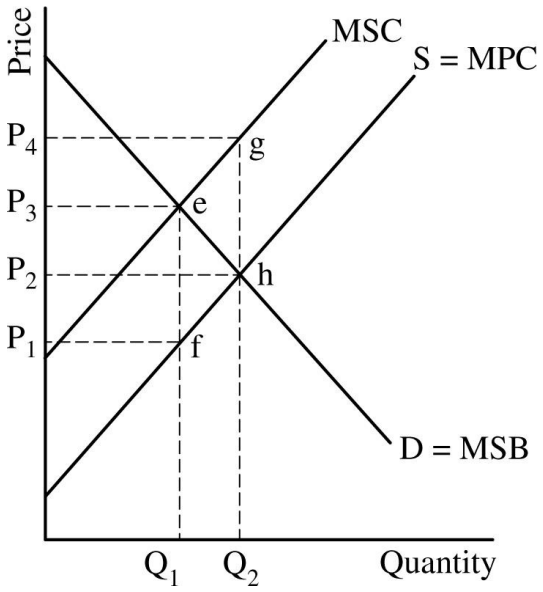
(C) average fixed cost

(D) short-run marginal cost

(E) long-run marginal cost

6.1/6.4 government policies

The following questions refer to the following diagram, which shows the marginal social cost (MSC), the marginal private cost (MPC), and the marginal social benefit (MSB) associated with the production of a good in a market.



21. The government can attempt to correct the externality by setting a

(A) per-unit tax equal to ($P_4 - P_1$)

(B) per-unit tax equal to ($P_4 - P_2$) ✓

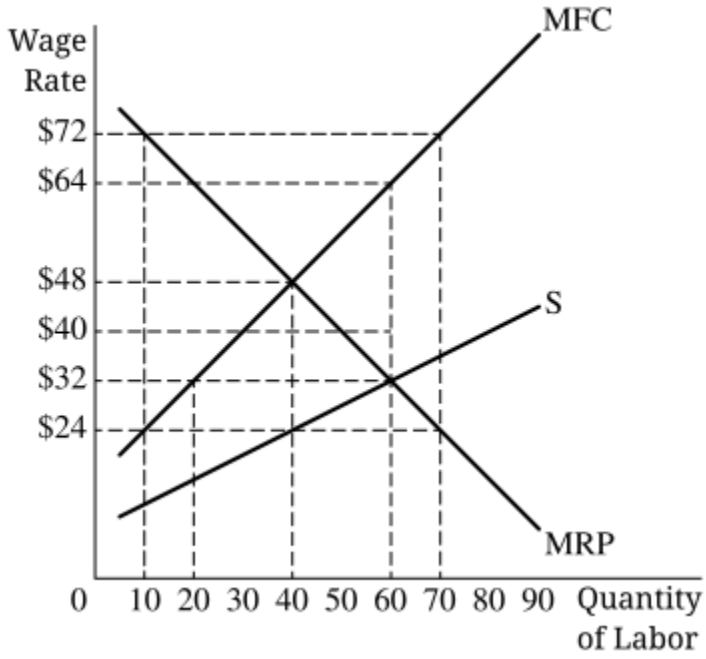
(C) per-unit subsidy equal to ($P_4 - P_2$)

(D) per-unit subsidy equal to ($P_3 - P_2$)

(E) price ceiling at P_2

6.1/6.4 government policies

22.



FishNets hires workers from the labor market depicted in the provided graph. The government imposes a binding minimum wage in the labor market. What is the binding minimum wage that would cause FishNets to hire the same number of workers as a perfectly competitive labor market?

(A) $24

(B) $32 ✓

(C) $40

(D) $48

(E) $64

Answer B

Correct. A perfectly competitive market equilibrium occurs at the intersection of the supply curve of labor and the demand curve for labor (the marginal revenue product of labor). The equilibrium quantity of labor is 60 workers and the equilibrium wage is $32. Thus, setting a binding wage rate at $32 would require FishNets to hire 60 workers.

23. Generally, monopolies are considered inefficient because they

6.1/6.4 government policies

(A) produce at a point where marginal cost is less than marginal revenue
(B) produce at a point where marginal cost exceeds price
(C) produce more output than does a competitive industry with similar cost conditions
(D) lead to an overallocation of resources in the affected market
(E) lead to an underallocation of resources in the affected market ✓

24. Assume the government implements a policy that causes a market to produce the socially optimal level of output. Which of the following must be true?

(A) The government policy must have reduced the level of output produced.
(B) The government policy must have increased the level of output produced.
(C) The government policy must have resulted in marginal social benefit being greater than marginal social cost for the last unit produced.
(D) Equating marginal private benefit and marginal private cost must have resulted in inefficiencies in the market. ✓
(E) Equating marginal social benefit and marginal social cost must have resulted in inefficiencies in the market.

Answer D

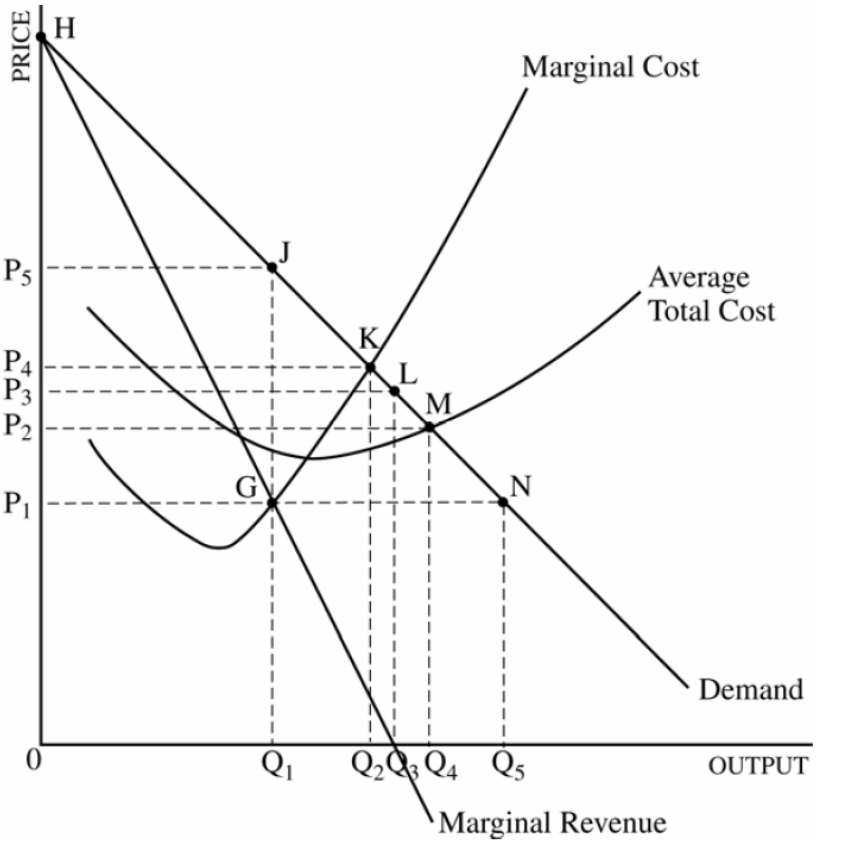
Correct. A market will produce where marginal private benefit equals marginal private cost. Therefore, either the demand curve did not capture all the benefits of the good or the supply curve did not capture all the costs of the good, which led to an inefficient use of resources and a suboptimal level of output being produced in the market.

25. If government regulators set price such that a natural monopolist earns only normal profits, price will be set equal to

(A) marginal revenue
(B) marginal cost
(C) average total cost ✓
(D) average revenue
(E) average variable cost

6.1/6.4 government policies

The following questions refer to the diagram below, which shows the cost and revenue conditions of a monopolist.



26. If the monopolist produces the allocatively efficient level of output rather than the profit-maximizing level of output, consumer surplus will

(A) decrease by the area P_5JKP_4

(B) decrease by the area P_5JMP_2

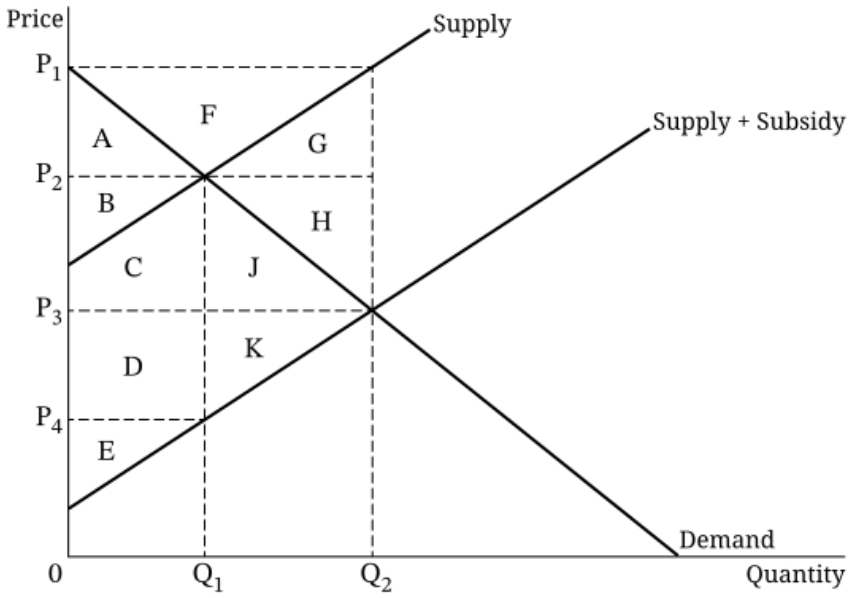
(C) increase by the area P_5JGP_1

(D) increase by the area P_5JKP_4 ✓

(E) increase by the area P_5JMP_2

6.1/6.4 government policies

The graph shows a per-unit subsidy being granted to producers of Good X. The letters on the graph represent enclosed areas.



27. The change in consumer surplus as a result of the per-unit subsidy granted to producers of Good X is equal to

(A) zero
(B) Area A
(C) Area J
(D) Areas J and K
(E) Areas B, C, and J ✓

Answer E

Correct. Consumer surplus can be represented by the area below the demand curve, which reflects consumers' willingness to pay and above the equilibrium price, for all units exchanged. Without the per-unit subsidy, consumer surplus in the market for Good X is represented by area A. With the per-unit subsidy, the equilibrium price decreases from P_2 to P_3 ,and the equilibrium quantity increases from Q_1 to Q_2, thus the area of consumer surplus increases to include areas B, C, and J.

28. What is the total cost of the per-unit subsidy to the government?

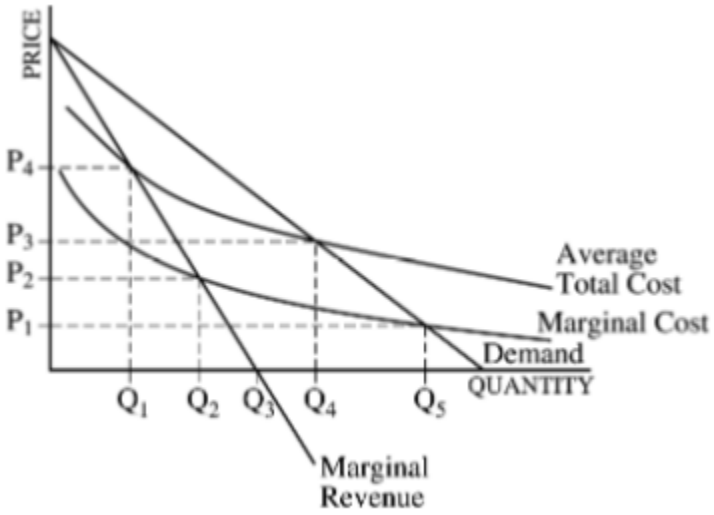
6.1/6.4 government policies

(A) Areas B, C, and J
(B) Areas B, C, and D
(C) Areas A, F, and G
(D) Areas A, B, C, F, G, H, and J ✓
(E) Areas A, B, C, D, E, J, and K

Answer D

Correct. The total cost of the per-unit subsidy to the government can be found by taking the value of the per-unit subsidy, which is given by the difference between the Supply and Supply + Subsidy curves ($P_1 - P_3$), and multiplying by the number of units exchanged in the market following the granting of the per-unit subsidy (Q_2). The rectangle formed by the areas A, B, C, J, H, G, and F is equal to $(P_1 - P_3) \times (Q_2)$, which represents the total cost of the per-unit subsidy to the government.

The question refers to the following diagram of a natural monopolist.

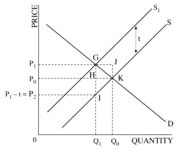


29. If government regulated the natural monopoly to produce the output resulting in zero economic profit, then the output would be

6.1/6.4 government policies

(A) Q_1
(B) Q_2
(C) Q_3
(D) Q_4 ✓
(E) Q_5

Assume that the original supply and demand curves of a commodity are S and D, respectively. Also assume that the government imposes an excise tax (per unit tax) of t dollars on the commodity, which shifts the supply curve to S_1.



30. The total amount of tax collected by the government is equal to

(A) P_1GQ_10
(B) P_1GIP_2 ✓
(C) P_0P_1JK
(D) P_0P_1GH
(E) P_0P_2IH

---

31. If a per-unit tax is imposed on a monopolist, how will the monopolist's marginal cost curve, output, and the price paid by consumers be affected?

6.1/6.4 government policies

(A)

Marginal Cost	Output	Price
Shift down	Increase	Decrease

(B)

Marginal Cost	Output	Price
Shift Down	Decrease	Decrease

(C)

Marginal Cost	Output	Price
No shift	Decrease	Decrease

(D) ✓

Marginal Cost	Output	Price
Shift Up	Decrease	Increase

(E)

Marginal Cost	Output	Price
Shift up	Increase	Increase

32. If firms in a perfectly competitive industry have been dumping toxic waste free of charge into a river, government action to ensure a more efficient use of resources would have which of the following effects on the industry's output and product price?

6.1/6.4 government policies

(A)

Output	Price
Decrease	Decrease

(B) ✓

Output	Price
Decrease	Increase

(C)

Output	Price
Increase	Decrease

(D)

Output	Price
Increase	Increase

(E)

Output	Price
Increase	No change

33. If the government imposes a per-unit tax on the output of a monopoly with a downward-sloping demand curve, the burden of the tax will be

(A) borne entirely by consumers
(B) borne entirely by the monopolist
(C) borne entirely by the government
(D) shared by the monopolist and the government
(E) shared by consumers and the monopolist ✓

34. If the government regulates a natural monopolist to produce the allocatively efficient level of output, it will require the monopolist to set a price that is

6.1/6.4 government policies

(A) equal to its marginal cost and grant a subsidy to cover the loss ✓

(B) equal to its average total cost and levy a tax on the excess profit

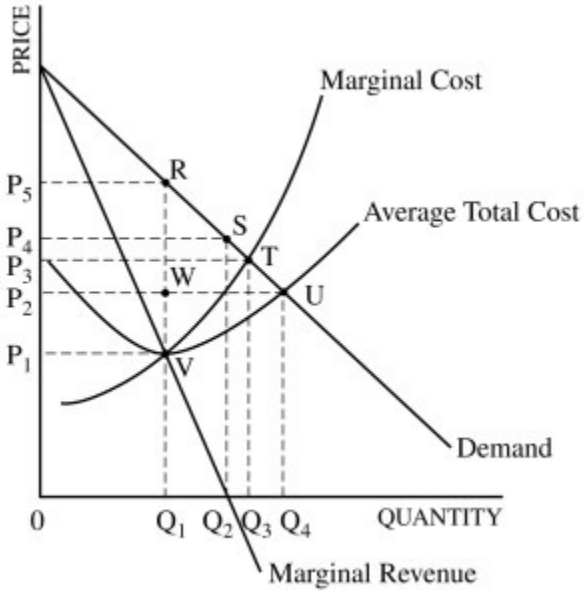
(C) greater than its marginal cost and levy a tax on the excess profit

(D) greater than its marginal cost but that minimizes the deadweight loss

(E) greater than its average total cost but that minimizes the deadweight loss

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The following questions refer to the graph of a monopolist shown below



35. If the government regulates the monopolist to set price equal to average total cost, it will establish the price at

(A) P_5

(B) P_4

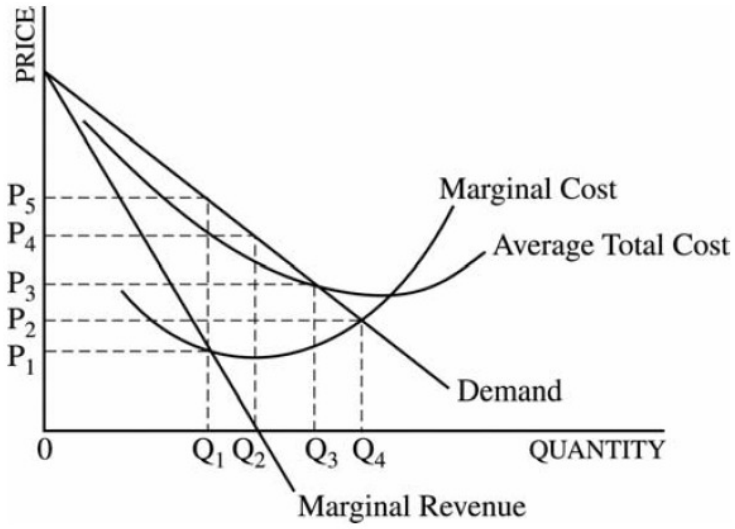
(C) P_3

(D) P_2 ✓

(E) P_1

6.1/6.4 government policies

The following questions are based on the graph below, which shows the cost and revenue curves of a natural monopolist



36. If the government wants to regulate this monopoly to produce the socially optimum level of output, it should set a price equal to

(A) P_1

(B) P_2 ✓

(C) P_3

(D) P_4

(E) P_5

37. When the monopolist produces the socially optimal level of output, it is

(A) earning positive economic profit

(B) earning zero economic profit

(C) incurring economic losses and it requires a subsidy to continue in business ✓

(D) maximizing its total revenue rather than profits

(E) maximizing profit

---

38. In a perfectly competitive labor market, an increase in an effective minimum wage will result in

6.1/6.4 government policies

(A) an increase in the supply of workers
(B) a decrease in the supply of workers
(C) a decrease in the demand for workers
(D) more workers being hired
(E) fewer workers being hired ✓

39. In a perfectly competitive market for a good with a downward sloping demand curve and an upward sloping supply curve, the marginal social benefit is greater than the marginal social cost at the market equilibrium quantity. The government imposition of a new per-unit tax on the production of the good would

(A) have no effect on the price of the good
(B) increase consumer surplus
(C) increase the deadweight loss ✓
(D) increase producer surplus
(E) increase the quantity sold of the good

40. In which of the following cases is the government's action appropriate for reducing inefficiency?

(A) Taxation of the output of a chocolate factory that emits an aroma tha residents of the city enjoy
(B) Regulation that reduces the output of a monopoly
(C) A lump-sum tax on a monopolist
(D) A subsidy for the consumption of a good produced by a plant that emits a pollutant as a by-product
(E) A toll on a congested bridge ✓

41. Assume the government introduces a lump-sum tax on each firm within a perfectly competitive industry. Which of the following will be true after the introduction of this tax?

(A) Consumer prices will increase
(B) There will be no change in any firm’s level of profits
(C) A deadweight efficiency loss will occur
(D) There will be no change in the market quantity of output ✓
(E) Each firm’s short-run marginal cost curve will increase

Answer D

Correct. The lump-sum tax will not change firms’ marginal cost curves or marginal revenue curves. Thus, there will be no change in the short-run equilibrium price or level of output. The lump-sum tax will be similar to an increase in fixed costs and will either reduce firms’ economic profits in the short run or increase economic losses.

6.1/6.4 government policies

42. Pollution abatement policies will improve efficiency if the

(A) marginal benefit of abatement is less than the marginal cost of abatement

(B) marginal cost of abatement is less than the marginal benefit of abatement ✓

(C) marginal cost of abatement is positive

(D) marginal benefit of abatement is positive

(E) marginal cost of abatement is zero

The table shows the market price, quantity of a good exchanged, and the resulting deadweight loss in five different market structures.

Market	Price ($)	Quantity Exchanged (units)	Deadweight Loss ($)
1	25	100	50
2	30	750	300
3	45	500	100
4	50	300	0
5	60	20	200

43. Which market displays outcomes that are consistent with those that result under perfect competition?

(A) Market 1

(B) Market 2

(C) Market 3

(D) Market 4 ✓

(E) Market 5

6.1/6.4 government policies

Answer D

Correct. In a perfectly competitive market, the equilibrium outcome results in the price of a good that equals both the marginal private benefit received by the last unit consumed and the marginal private cost incurred to produce the last unit. As a result, the allocatively efficient quantity of the good is produced, and there is no deadweight loss.

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44. In the absence of externalities, which of the following is true of a competitive market in equilibrium?

(A) Consumer surplus is maximized.
(B) Producer surplus is maximized.
(C) Marginal benefit exceeds marginal cost.
(D) Marginal social benefit equals marginal social cost. ✓
(E) Consumer surplus equals producer surplus.

Answer D

Correct. With no externalities, demand will equal marginal social benefit and supply will equal marginal social cost. There will be allocative efficiency because marginal social benefit will equal marginal social cost.

45. Two monopolies with identical cost structures are compared. One is an unregulated profit-maximizing monopoly, and the other is regulated to produce the quantity at which it breaks earns zero economic profitevenearns zero economic profit. Which of the following accurately describes the difference between the two monopolies?

6.1/6.4 government policies

(A)

The Unregulated Monopoly	The Regulated Monopoly
Charges a price equal to average total cost	Charges a price equal to marginal cost

(B)

The Unregulated Monopoly	The Regulated Monopoly
Creates deadweight loss in the market	Eliminates deadweight loss from the market

(C)

The Unregulated Monopoly	The Regulated Monopoly
Experiences economies of scale	Experiences diseconomies of scale

(D)

The Unregulated Monopoly	The Regulated Monopoly
Collects all consumer surplus from the consumers	Transfers all consumer surplus to the government

(E) ✓

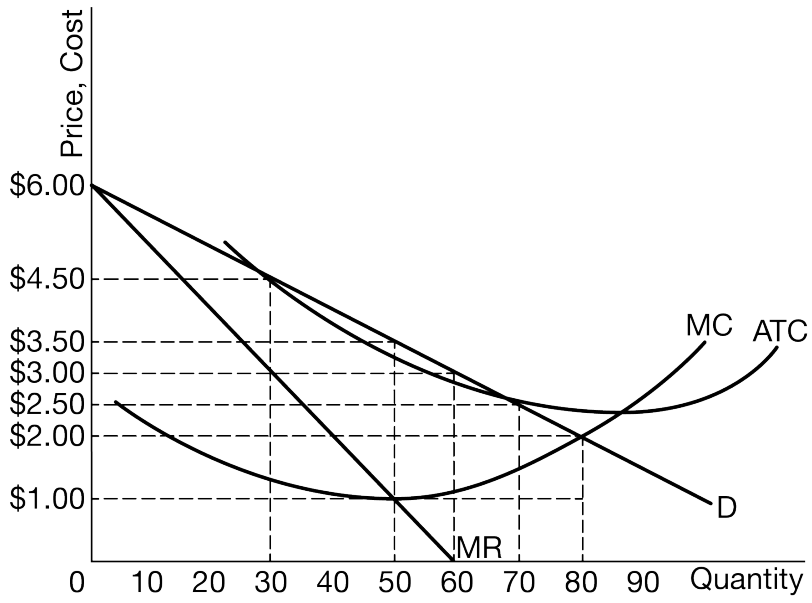
6.1/6.4 government policies

The Unregulated Monopoly	The Regulated Monopoly
Produces where marginal revenue equals marginal cost	Produces where price equals average total cost

Answer E

Correct. The unregulated monopoly, like all profit-maximizing firms, would produce the quantity of output where marginal revenue equals marginal cost. However, the regulated monopoly is required to produce the quantity at which it breaks even, that is, earns zero economic profit, where the product's price equals average total cost.

46.



If the government regulates the monopolist to produce the allocatively efficient quantity and provides a subsidy sufficient to maintain zero economic profits for the firm, what price would the government set and what level of output would the firm produce?

6.1/6.4 government policies

(A) $1.00 and 50

(B) $2.00 and 80 ✓

(C) $3.00 and 50

(D) $3.50 and 50

(E) $4.50 and 30

Answer B

Correct. The allocatively efficient level of output occurs where the price equals marginal cost. On the graph, price equals marginal cost at a price of $2.00 and a quantity of 80.

47. The socially optimal quantity of a public good is provided when

(A) marginal private cost equals marginal private benefit

(B) marginal social cost equals marginal social benefit ✓

(C) total private cost equals total social benefit

(D) total social cost equals total social benefit

(E) marginal social benefit minus marginal social cost is at a maximum

48. Which of the following actions would a government take when regulating a natural monopoly to produce the socially optimal quantity?

(A) Impose a lump-sum tax on the monopolist's profit.

(B) Impose a per-unit tax on the monopolist's profit.

(C) Open the market for competition to lower the monopoly price.

(D) Regulate the monopoly to charge a price equal to the average total cost.

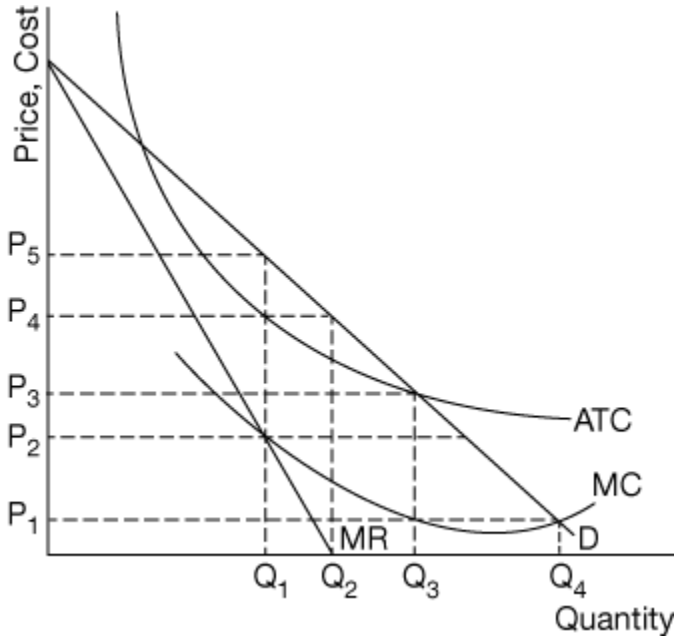
(E) Grant a lump-sum subsidy to the monopoly. ✓

Answer E

Correct. Since regulating a natural monopoly to produce at the socially optimal quantity (where price equals marginal cost) will impose economic losses on the firm, granting a lump-sum subsidy ensures that the firm both produces at the socially optimal quantity and cover its costs to continue to operate.

6.1/6.4 government policies

49.



The graph provided shows the demand (D), marginal revenue (MR), marginal cost (MC), and average total cost (ATC) curves for a monopolist. If a regulatory agency requires that the monopolist set a price that earns the monopolist a normal profit, what price will the monopolist set?

(A) P_1
(B) P_2
(C) P_3 ✓
(D) P_4
(E) P_5

Answer C

Correct. A firm earns normal profit when it charges a price equal to average total cost. Since $\mathrm{P}_3 = \mathrm{ATC}$, the firm is covering its economic costs and is earning normal profit.

50. The surgeon general has determined that smoking causes cancer and heart disease for both smokers and passive smokers, nonsmokers who breathe smoke-filled air. If cigarette prices are determined in a free market, which of the following will be true?

6.1/6.4 government policies

(A) The price of cigarettes will be too low and the quantity sold will be too high. ✓

(B) The price of cigarettes will be efficient but the quantity sold will be too high.

(C) The market will be efficient because markets always equate marginal benefits and marginal costs.

(D) The price of cigarettes will reflect the marginal social benefit received by nonsmokers.

(E) The price of cigarettes will overstate the true social cost imposed on nonsmokers.

51. Which of the following is an example of a negative externality in production?

(A) An electronics store decreases the price of televisions during the holidays.

(B) A car insurance company charges a higher price for teenage drivers.

(C) A local paper mill emits an odor, imposing additional costs on nearby residents. ✓

(D) A pine tree in a public park provides pleasant shade for residents.

(E) A photographer accepts a price for work below marginal cost.

Answer C

Correct. Negative externalities in production occur when the production of a good causes a harmful effect on others not involved in the transaction. A local paper mill emitting an odor imposes additional costs, in the form of a marginal external cost, on nearby residents. Marginal social cost will exceed marginal private cost in this instance; this represents a negative externality in production.

52. One justification for government regulation of a monopoly is that the unregulated monopoly

(A) earns a normal profit

(B) pays its workers a lower wage than if the market were competitive

(C) has a very elastic demand curve

(D) charges a price higher than a competitive market price ✓

(E) sells too much of the product

53. In the absence of externalities, the perfectly competitive market maximizes economic surplus when

(A) the market price is above the equilibrium price

(B) the market price is below the equilibrium price

(C) the market is at equilibrium ✓

(D) for the last unit produced, marginal benefit exceeds marginal cost

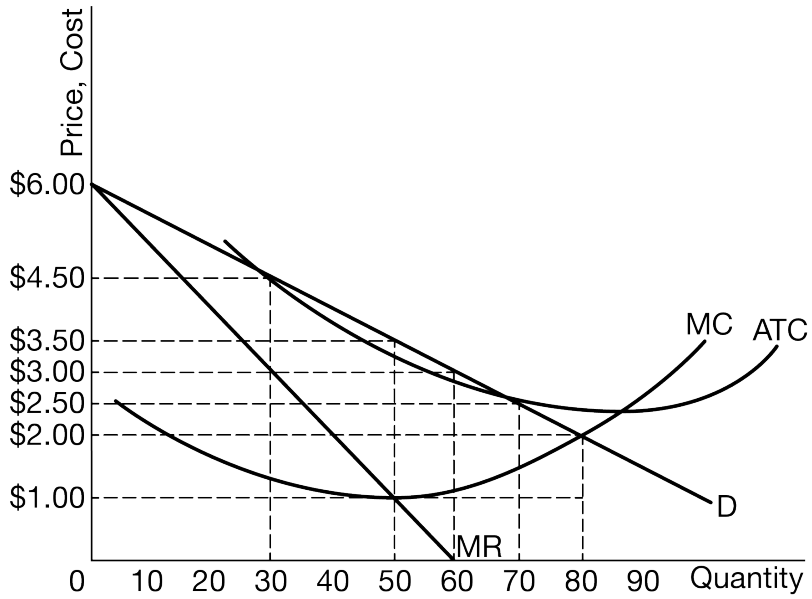
(E) the total benefit from all units produced equals the total costs of all units produced

6.1/6.4 government policies

Answer C

Correct. The competitive market in equilibrium is allocatively efficient and maximizes the total economic surplus. In the absence of externalities, the market equilibrium quantity is the same as the socially optimal quantity. At the socially optimal quantity, the marginal benefit of consuming the last unit equals the marginal cost of producing the last unit.

54.



The diagram describes conditions for a natural monopoly. In order to regulate the monopoly to produce the largest possible output without a loss, government regulators would establish a price of

(A) $1.00
(B) $2.00
(C) $2.50 ✓
(D) $3.00
(E) $3.50

Answer C

Correct. This price equals average total cost, and therefore a subsidy is not required. The natural monopoly produces a quantity of 70 and earns zero economic profit.

6.1/6.4 government policies

55. The equilibrium quantity of labor used in the production of a good will be the largest under which of the following conditions?

(A) When the labor market is monopsonistic and the output market is perfectly competitive

(B) When the labor market is monopsonistic and the output market is a pure monopoly

(C) When the labor market is perfectly competitive and the output market is a pure monopoly

(D) When both the labor and output markets are perfectly competitive ✓

(E) When laborers are allowed to collude in setting a price

56. Assume a profit-maximizing monopoly and firms in a perfectly competitive market have identical cost and revenue conditions. In which market will a binding price ceiling result in a more efficient outcome and why?

(A) The perfectly competitive market will become more efficient because the deadweight loss will decrease.

(B) The perfectly competitive market will become more efficient because consumers will be able to purchase greater quantities of the good at a lower price.

(C) The monopoly will become more efficient because the deadweight loss will decrease. ✓

(D) The monopoly will become more efficient because producers will be able to sell greater quantities of the good at a higher price.

(E) Both markets will become more efficient because total economic surplus will increase.

Answer C

Correct. The monopoly will become more efficient because a binding price ceiling set below the monopolist's profit-maximizing price will increase the profit-maximizing quantity, since the monopolist's marginal revenue and demand curves will become horizontal at the price ceiling level $(P = MR = D)$. Therefore, total economic surplus will increase and deadweight loss will decrease.

57. As an unregulated monopolist, City Cable is earning positive economic profits. If the government regulated the firm by requiring it to produce the level of output that allowed the firm to earn zero economic profit, City Cable would set a price that is equal to its

(A) marginal cost

(B) marginal revenue

(C) average total cost ✓

(D) average variable cost

(E) total cost

6.1/6.4 government policies

Answer C

Correct. If the price is equal to average total cost, City Cable will earn zero economic profit.

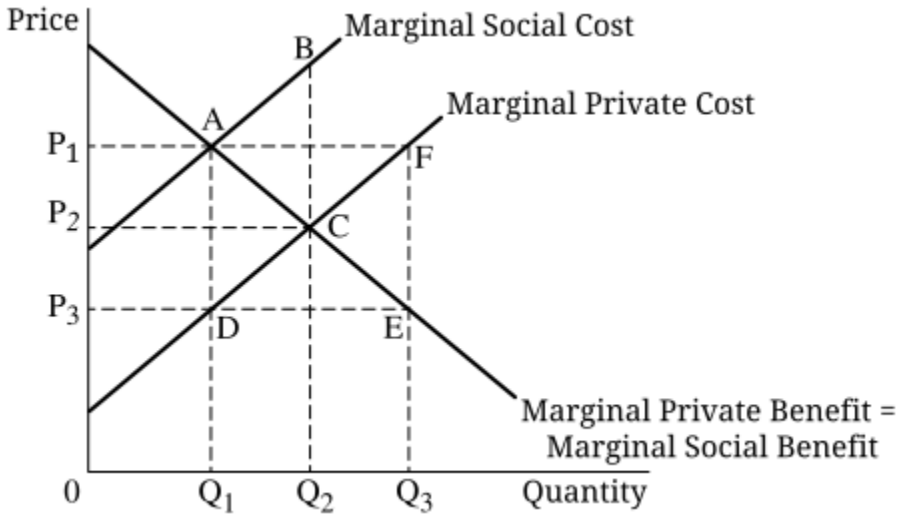
58. Which of the following is an example of a violation of antitrust laws?

(A) Advertising to increase a firm's market share in an industry
(B) Making positive economic profits by charging a price above marginal cost
(C) Making free-trade agreements with other countries
(D) Engaging in collusive behavior to restrain competition ✓
(E) Charging a price below the price ceiling

Answer D

Correct. Antitrust laws are designed to keep the economy free and fair by outlawing efforts to restrain competition.

59.



Home remodeling services are provided in a perfectly competitive market but generate noise that angers neighbors. What is the socially optimal quantity of home remodeling services and the area that represents deadweight loss associated with the market equilibrium?

6.1/6.4 government policies

(A) Q_1 and area ACD

(B) Q_1 and area ABC ✓

(C) Q_2 and area ABC

(D) Q_2 and area ACD

(E) Q_3 and area CEF

Answer B

Correct. The socially optimal quantity of home remodeling occurs where marginal social cost equals marginal social benefit at Q_1. At the market equilibrium quantity Q_2, deadweight loss is the area ABC, as this area represents the external cost that would be generated in the production of home remodeling services at the market equilibrium.

60. Suppose that the market supply curve for shoes is upward sloping and the market demand curve is downward sloping. How will the imposition of a sales tax on shoes affect the consumer surplus, the producer surplus, and the total surplus?

6.1/6.4 government policies

(A) ✓

Consumer Surplus	Producer Surplus	Total Surplus
Decrease	Decrease	Decrease

(B)

Consumer Surplus	Producer Surplus	Total Surplus
Decrease	Increase	Increase

(C)

Consumer Surplus	Producer Surplus	Total Surplus
Decrease	Increase	Decrease

(D)

Consumer Surplus	Producer Surplus	Total Surplus
Increase	Decrease	Decrease

(E)

Consumer Surplus	Producer Surplus	Total Surplus
Increase	Increase	Increase

61. Shrimp and chicken are substitute inputs in the production of frozen meals. Both shrimp and chicken are sold in perfectly competitive markets. If the government imposes a per-unit tax on shrimp, how will the demand for chicken and the equilibrium price of frozen meals be affected in the short run?

6.1/6.4 government policies

(A)

Demand for Chicken	Equilibrium Price of Frozen Meals
Increase	Increase

(B)

Demand for Chicken	Equilibrium Price of Frozen Meals
Increase	Decrease

(C)

Demand for Chicken	Equilibrium Price of Frozen Meals
Increase	No change

(D)

Demand for Chicken	Equilibrium Price of Frozen Meals
Decrease	Increase

6.1/6.4 government policies

(E)

Demand for Chicken	Equilibrium Price of Frozen Meals
Decrease	Decrease

Answer A

Correct. If the government imposes a per-unit tax on shrimp, the price of shrimp will increase. When the price of shrimp (which is a substitute for chicken in the production of frozen meals) increases, the demand for chicken increases. As the demand for chicken increases, the price of chicken also increases. As a result, since both inputs in the production of frozen meals have increased in price, the supply curve of frozen meals will shift to the left, resulting in an increase in the equilibrium price of frozen meals.

62. In the absence of externalities, which market structure produces the socially optimal quantity?

(A) Perfect competition ✓
(B) Monopolistic competition
(C) An oligopoly
(D) A monopoly
(E) A monopsony

Answer A

Correct. The private market equilibrium in perfect competition is the same as the socially optimal output because the marginal social benefit equals the marginal social cost, where price is equal to marginal cost.

63. A perfectly competitive market produces the socially efficient level of output when the marginal social benefit of the last unit of output produced is

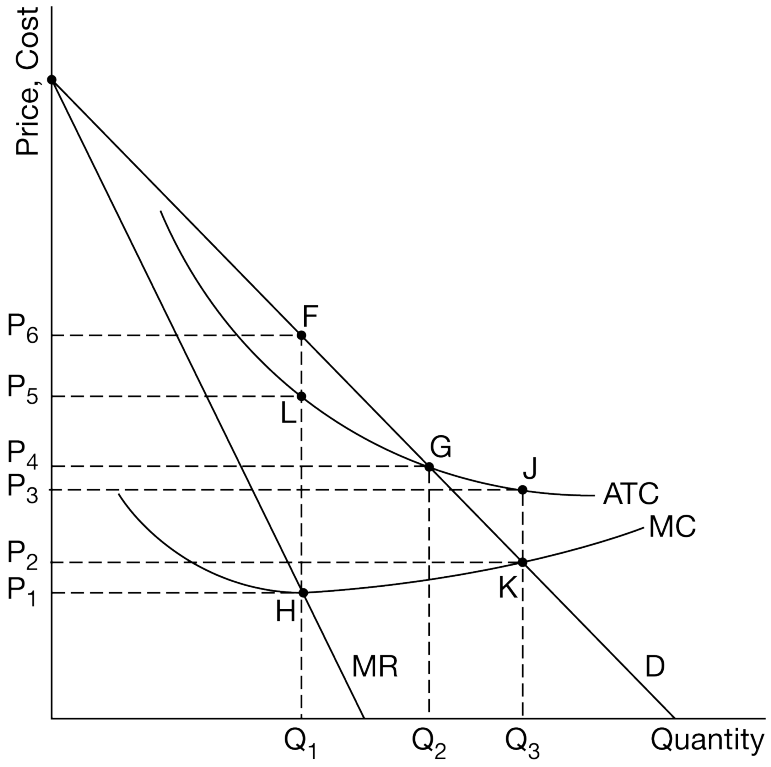
6.1/6.4 government policies

(A) equal to the marginal social cost ✓
(B) less than the marginal social cost
(C) zero
(D) greater than the total producer surplus
(E) equal to the total producer surplus

Answer A

Correct. A perfectly competitive market produces the socially efficient level of output when marginal social benefit is equal to marginal social cost. At the socially efficient level of output, the benefit enjoyed by consumers from the last unit of a good must equal the social cost of producing this last unit.

64.



The graph above shows the price and cost condition for a natural monopoly. The amount of lump-sum subsidy required to regulate the monopoly to produce the allocatively efficient quantity is given by the area

6.1/6.4 government policies

(A) P_5P_6FL
(B) P_1P_5LH
(C) P_1P_6FH
(D) P_2P_3JK ✓
(E) GQ_2Q_3J

Answer D

Correct. The allocatively efficient output level is Q_3, but price, P_3, will be less than average total cost and no firm will produce without a subsidy. If the monopolist is regulated to produce that quantity, it would incur a loss equal to area P_2P_3JK. Therefore, the lump-sum subsidy required would be equal to P_2P_3JK.

65. Which of the following will cause an unregulated monopolist to produce a more allocatively efficient level of output?

(A) A tax based on the amount of profits
(B) A tax that does not change as output increases
(C) A tax that increases as output increases
(D) A subsidy that increases as output increases ✓
(E) A subsidy that does not change as output increases

66. Which of the following government actions can correct the inefficiency caused by the existence of a monopoly?

(A) Granting a per-unit subsidy on the monopolist’s output ✓
(B) Granting an annual lump-sum subsidy to the monopolist
(C) Imposing a per-unit tax on the monopolist’s output
(D) Imposing a price floor on the monopolist
(E) Limiting the monopolist's production through regulation

67. Suppose that at the current output level the marginal social cost of producing a good is greater than its marginal private cost, and that the marginal social benefit associated with production of the good is equal to its marginal private benefit. Which of the following government actions would most likely increase efficiency?

(A) Taxing the production of the good ✓
(B) Taxing the production of substitute goods
(C) Giving tax rebates to people who purchase the good
(D) Subsidizing production of complementary goods
(E) Subsidizing consumption of the good

6.1/6.4 government policies

68. Which of the following is a government policy that is intended to address a market failure?

(A) Taxing the use of toxic pesticides by farmers ✓

(B) Fining firms that outsource jobs to lower labor costs

(C) Subsidizing corn farmers who face increasing production costs

(D) Taxing short-run profits in competitive markets

(E) Subsidizing entry of firms into a market with an existing natural monopoly